

BEYOND THE HORIZON



INTERIM FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30TH JUNE 2018

AgStar PLC

Consolidated Statement of Profit or Loss and Other Comprehensive Income



	Three months ended 30th June		Change	Year ended 31st March 2018
(Rs.Mns)	2018	2017		
	Un Audited	Un Audited		Audited
Continuing operations				
Revenue	936.94	891.09	5%	3,317.02
Cost of sales	(636.75)	(722.55)	-12%	(2,784.93)
Gross profit	300.19	168.54	78%	532.09
Other income	2.59	0.99	162%	22.43
Distribution expenses	(25.69)	(21.09)	22%	(94.58)
Administration expenses	(63.48)	(48.13)	32%	(230.62)
Other expenses	-	-	0%	(38.49)
Net finance income/(costs)	30.65	(13.30)	-330%	(34.79)
Profit/(loss) before tax	244.26	87.01	181%	156.04
Income tax expense	(59.33)	(26.54)	124%	(65.73)
Profit/(loss) from continuing operations	184.93	60.47	206%	90.31
Discontinued operations				
Loss from discontinued operations (net of tax)	(1.56)	(14.71)	-89%	(63.72)
Profit/(loss) for the period	183.37	45.76	301%	26.59
Attributable to :				
Owners of the parent	183.37	45.76	301%	26.59
Non-controlling interests	-	-	-	-
	183.37	45.76	301%	26.59
Basic earnings/(loss) per share (Rs.)	0.56	0.14	301%	0.08
Consolidated Statement of Comprehensive Income				
Profit/(loss) for the period	183.37	45.76	301%	26.59
Other comprehensive income/(expense):				
Revaluation of property, plant and equipment	-	-	-	394.89
Deferred tax impact on revaluation of property, plant and equipment	-	-	-	(31.43)
Actuarial loss on post employment benefit obligations	-	-	-	(2.32)
Income tax on other comprehensive income	-	-	-	0.65
Other comprehensive income for the period, net of tax	-	-	-	361.79
Total comprehensive income/(expense) for the period, net of tax	183.37	45.76	301%	388.38
Attributable to :				
Owners of the parent	183.37	45.76	301%	388.38
Non-controlling interests	-	-	-	-
	183.37	45.76	301%	388.38

The above figures are provisional and subject to audit.
Figures in brackets indicate deductions.

AgStar PLC

Company Profit or Loss and Other Comprehensive Income



(Rs.Mns)	Three months ended 30th June		Change	Year ended
	2018	2017		31st March
	Un Audited	Un Audited		Audited
Revenue	857.40	833.78	3%	3,099.88
Cost of sales	(594.39)	(687.88)	-14%	(2,670.19)
Gross profit	263.01	145.90	80%	429.69
Other income	2.33	0.92	153%	45.85
Distribution expenses	(18.94)	(13.87)	37%	(64.79)
Administration expenses	(49.13)	(31.40)	56%	(156.34)
Other expenses	-	-	0%	(77.79)
Net finance income/(costs)	28.39	(9.21)	-408%	(32.58)
Profit/(loss) before tax	225.66	92.34	144%	144.04
Income tax expense	(61.90)	(26.13)	137%	(44.83)
Profit/(loss) for the period	163.76	66.21	147%	99.22

Company Statement of Comprehensive Income

Profit/(loss) for the period	163.76	66.21	147%	99.22
Other comprehensive income:				
Revaluation of property, plant and equipment	-	-	-	78.58
Deferred tax impact on revaluation of property, plant and equipment	-	-	-	(4.08)
Actuarial loss on post employment benefit obligations	-	-	-	(2.12)
Income tax on other comprehensive income	-	-	-	0.59
Other comprehensive income for the period, net of tax	-	-	-	72.97
Total comprehensive income/(expense) for the period, net of tax	163.76	66.21	147%	172.20

The above figures are provisional and subject to audit.

Figures in brackets indicate deductions.

Statements of Financial Position

(Rs.Mns)	Group			Company		
	As at	As at	As at	As at	As at	As at
	30/06/2018	30/06/2017	31/03/2018	30/06/2018	30/06/2017	31/03/2018
	Un Audited	Un Audited	Audited	Un Audited	Un Audited	Audited
ASSETS						
Non-current assets						
Property, plant and equipment	1,410.65	1,020.94	1,417.70	316.42	235.05	319.95
Intangible assets and goodwill	56.93	57.33	57.03	-	-	-
Investment property	-	155.00	-	-	-	-
Investments in subsidiaries	-	-	-	476.23	476.23	476.23
Deferred tax assets	0.18	0.07	0.18	-	-	61.80
	1,467.76	1,233.34	1,474.91	792.65	711.28	857.98
Current assets						
Inventories	483.43	918.82	1,735.35	329.79	840.06	1,648.56
Trade and other receivables	2,188.14	1,628.24	940.63	2,025.32	1,538.25	881.74
Amount due from related companies	-	-	-	698.20	299.73	684.41
Cash and cash equivalents	220.45	160.04	264.82	93.98	43.45	130.41
	2,892.02	2,707.10	2,940.80	3,147.29	2,721.49	3,345.12
Assets classified as held for sale	540.42	590.04	542.28	118.71	118.71	118.71
Total current assets	3,432.44	3,297.14	3,483.08	3,266.00	2,840.20	3,463.83
Total assets	4,900.20	4,530.48	4,957.99	4,058.65	3,551.48	4,321.81
EQUITY AND LIABILITIES						
Equity						
Stated capital	1,204.09	1,204.09	1,204.09	1,204.09	1,204.09	1,204.09
Revaluation reserve	759.51	396.04	759.51	166.43	91.93	166.43
Retained earnings	1,010.54	848.01	827.17	980.97	785.72	817.21
Equity attributable to owners of the parent	2,974.14	2,448.14	2,790.77	2,351.49	2,081.74	2,187.73
Non-controlling interests	-	-	-	-	-	-
Total equity	2,974.14	2,448.14	2,790.77	2,351.49	2,081.74	2,187.73
Non-current liabilities						
Employee benefits	25.81	20.16	25.81	25.73	20.02	25.73
Deferred tax liabilities	63.71	48.08	4.34	0.11	26.02	-
Deferred income	4.77	6.34	5.14	4.77	6.34	5.14
	94.29	74.58	35.29	30.61	52.38	30.87
Current liabilities						
Trade and other payables	1,410.94	722.97	2,023.05	1,317.61	695.96	2,002.63
Loans and borrowings	404.40	893.68	16.64	348.16	689.71	9.11
Amount due to related companies	-	-	-	-	-	-
Current tax liabilities	9.53	34.56	91.47	9.53	31.69	91.47
Bank overdrafts	6.52	-	0.39	1.25	-	-
	1,831.39	1,651.21	2,131.55	1,676.55	1,417.36	2,103.21
Liabilities classified as held for sale	0.38	356.55	0.38	-	-	-
Total current liabilities	1,831.77	2,007.76	2,131.93	1,676.55	1,417.36	2,103.21
Total liabilities	1,926.06	2,082.34	2,167.22	1,707.16	1,469.74	2,134.08
Total equity and liabilities	4,900.20	4,530.48	4,957.99	4,058.65	3,551.48	4,321.81
Net assets per share (Rs.)						
	9.15	7.53	8.59	7.24	6.41	6.73

The above figures are provisional and subject to audit.
Figures in brackets indicate deductions.

I certify that these financial statements have been prepared in compliance with the requirements of the Companies Act No.7 of 2007.

Mohamed Rizny
Accountant

The Board of Directors is responsible for the preparation and presentation of these financial statements.

N G R Karunaratne
Chairman

A P Weerasekera
Managing Director

August 14, 2018

AgStar PLC

Statement of Changes in Equity



(Rs.Mns)

Group

	<u>Equity attributable to owners of the parent</u>					Non-controlling interests	Total equity
	Stated capital	Revaluation reserve	Retained earnings	Total			
Balance as at 1st April 2017	1,204.09	396.04	802.25	2,402.38	-		2,402.38
Profit for the year	-	-	45.76	45.76	-		45.76
Other comprehensive income for the year	-	-	-	-	-		-
Total comprehensive income for the year	-	-	45.76	45.76	-		45.76
Balance as at 30th June 2017	1,204.09	396.04	848.01	2,448.14	-		2,448.14
Balance as at 1st April 2018	1,204.09	759.51	827.17	2,790.77	-		2,790.77
Profit for the year	-	-	183.37	183.37	-		183.37
Other comprehensive income for the year	-	-	-	-	-		-
Total comprehensive income for the year	-	-	183.37	183.37	-		183.37
Balance as at 30th June 2018	1,204.09	759.51	1,010.54	2,974.14	-		2,974.14

Company

	Stated capital	Revaluation reserve	Retained earnings	Total equity
Balance as at 1st April 2017	1,204.09	91.93	719.51	2,015.53
Profit for the year	-	-	66.21	66.21
Other comprehensive income for the year	-	-	-	-
Total comprehensive income for the year	-	-	66.21	66.21
Balance as at 30th June 2017	1,204.09	91.93	785.72	2,081.74
Balance as at 1st April 2018	1,204.09	166.43	817.21	2,187.73
Profit for the year	-	-	163.76	163.76
Other comprehensive income for the year	-	-	-	-
Total comprehensive income for the year	-	-	163.76	163.76
Balance as at 30th June 2018	1,204.09	166.43	980.97	2,351.49

The above figures are provisional and subject to audit.

Figures in brackets indicate deductions.



For the period ended 30th June, (Rs.Mns)	Group		Company	
	2018	2017	2018	2017
	Un Audited	Un Audited	Un Audited	Un Audited
Operating activities				
Profit before tax	244.26	87.01	225.66	92.34
Loss before tax from discontinued operations	(1.56)	(14.71)	-	-
Adjustments for :				
Depreciation	10.83	8.87	6.08	4.87
Amortisation on intangible assets	0.10	0.10	-	-
Interest income	(4.19)	(1.19)	(3.62)	(0.57)
Interest expenses	3.00	30.09	2.48	16.06
Provision for impairment of investments in subsidiaries	-	-	-	-
Provision for impairment of amount due from subsidiaries	-	-	-	-
Impairment of property plant and equipment	-	-	-	-
Impairment of goodwill	-	-	-	-
Change in fair value of investment property	-	-	-	-
Gain on disposal of property, plant and equipment	(0.24)	(0.03)	(0.24)	(0.03)
Gain on disposal of investment property	-	-	-	-
Amortisation of deferred income	(0.37)	(0.49)	(0.37)	(0.49)
Dividend income	-	-	-	-
Provision/(reversal) of impairment on trade receivables	4.70	2.95	2.29	0.56
Inventories written off/adjustment to NRV	-	-	-	-
Provision for retirement gratuity	-	-	-	-
Impairment of other receivables	-	-	-	-
Changes in working capital:				
(Increase)/ decrease in inventories	1,251.92	86.72	1,318.78	(4.84)
(Increase)/ decrease in trade and other receivables	(207.81)	(245.17)	(100.07)	(226.19)
(Increase)/ decrease in subsidy receivable	(1,045.80)	-	(1,045.80)	-
(Increase)/ decrease in amounts due from related companies	-	-	(13.79)	(11.88)
Increase/ (decrease) in trade and other payables	(609.21)	(290.20)	(685.02)	(300.48)
Increase/ (decrease) in amounts due to related companies	-	-	-	(1.15)
Cash generated from/(used in) operations	(354.37)	(336.05)	(293.62)	(431.80)
Employee benefit paid	-	(0.69)	-	(0.69)
Interest paid	(3.00)	(30.09)	(2.48)	(16.06)
Income tax paid	(81.94)	(43.63)	(81.94)	(43.08)
Net cash generated from/(used in) operating activities	(439.31)	(410.46)	(378.04)	(491.63)
Investing activities				
Interest income received	4.19	1.19	3.62	0.57
Investment in subsidiaries	-	-	-	-
Dividend income received	-	-	-	-
Proceeds from disposal of property, plant and equipment	0.24	0.03	0.24	0.03
Proceeds from disposal of investment property	-	-	-	-
Purchase of property, plant and equipment	(3.46)	(0.42)	(2.55)	(0.35)
Addition to work in progress	(0.27)	-	-	-
Additions to investment property	-	-	-	-
Net cash generated from/(used in) investing activities	0.70	0.80	1.31	0.25
Financing activities				
Dividends paid	-	-	-	-
Borrowings - net movement	387.76	448.28	339.05	534.82
Repayment of finance lease principal	-	-	-	-
Net cash generated from/(used in) financing activities	387.76	448.28	339.05	534.82
Net increase/ (decrease) in cash and cash equivalents	(50.85)	38.62	(37.68)	43.45
Cash and cash equivalents at the beginning of the period	265.29	117.57	130.41	(4.62)
Net increase/ (decrease) in cash and cash equivalents	(50.85)	38.62	(37.68)	43.45
Cash and cash equivalents at the end of the period	214.44	156.19	92.73	38.83
Analysis of cash and cash equivalent at the end of the period				
Cash at bank and in hand	200.40	138.67	73.93	23.40
Short term deposits	20.05	21.37	20.05	20.05
Bank overdrafts	(6.52)	(7.12)	(1.25)	(4.62)
Cash and cash equivalents classified as held for sale	0.51	3.27	-	-
	214.44	156.19	92.73	38.83

The above figures are provisional and subject to audit.

Figures in brackets indicate deductions.

1 Basis of Preparation

The interim condensed financial statements have been prepared in compliance with Sri Lanka Accounting Standards LKAS 34 - Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2018.

The presentation and classification of the financial statements of the previous year have been amended, where relevant, for better presentation and to be comparable with those of the current year.

The interim condensed financial statements are presented in Sri Lankan Rupees and all values are in Millions, unless otherwise stated.

2 Segment information

Management has determined the operating segments based on the reports reviewed by the Executive Board that are used to make strategic decisions.

Trading - Items which are directly imported and sold without further processing are categorised under this.

Non-trading - This segment includes the items which are further processed before sold.

Rs. Mns

	Period ended 30/06/2018			Period ended 30/06/2017		
	Trading	Non-trading	Total	Trading	Non-trading	Total
Revenue	541.75	395.19	936.94	360.07	531.02	891.09
Cost of sales	(422.56)	(214.18)	(636.74)	(296.84)	(425.71)	(722.55)
Gross profit			300.19			168.54
<i>Unallocated expenses</i>						
Distribution expenses			(25.69)			(21.09)
Administrative expenses			(63.48)			(48.13)
Other income			2.59			0.99
Other Expenses			-			-
Operating profit			213.61			100.31
Net finance income/(cost)			30.65			(13.30)
Profit before tax			244.26			87.01
Tax expense			(59.33)			(26.54)
Profit for the period from continuing operations			184.93			60.47

Since the information on total assets and liabilities for each reportable segment are not provided to the Executive Board on regular basis, the segmented assets and liabilities are not provided.

3 Stated Capital

		Number of shares	Value of ordinary shares Rs.
As at 30th June 2018	- voting	307,526,310	1,186,251,558
	- non-voting	17,473,690	17,842,120
		325,000,000	1,204,093,678
As at 31st March 2018	- voting	307,526,310	1,186,251,558
	- non-voting	17,473,690	17,842,120
		325,000,000	1,204,093,678

4 Twenty Major Share holders -Voting shares

Name of shareholders	As at 30/06/2018		As at 31/03/2018	
	Number of shares	Holding %	Number of shares	Holding %
Sierra Holdings (Pvt) Ltd	97,514,400	31.71%	97,514,400	31.71%
Lanka Orix Leasing Company PLC	60,213,500	19.58%	60,213,500	19.58%
Browns Investments PLC	40,520,061	13.18%	40,520,061	13.18%
Sierra Construction (Pvt) Ltd	37,025,290	12.04%	37,025,290	12.04%
P & K Investments (Pvt) Ltd	20,500,000	6.67%	20,500,000	6.67%
Sampath Bank PLC/Dr.T.Senthilvel	10,627,982	3.46%	10,627,982	3.46%
Mr. N.G.R.Karunaratne	8,229,310	2.68%	8,229,310	2.68%
Mr. A.P Weerasekera	7,243,310	2.36%	7,243,310	2.36%
FLMC Plantations (Pvt) Ltd	3,150,000	1.02%	3,150,000	1.02%
Mr. D.N.N Lokuge	3,125,000	1.02%	3,125,000	1.02%
Mr. W.A.P Perera	3,120,000	1.01%	3,120,000	1.01%
Mrs. A.C.P Irugalbandara -Joint	1,500,000	0.49%	1,500,000	0.49%
Mr. S Karunaratna	1,250,000	0.41%	1,250,000	0.41%
Sierra Engineering And Construction (Private) Limited	1,021,607	0.33%	1,021,607	0.33%
Mr. M.S.S Ghazaly	1,000,000	0.33%	1,000,000	0.33%
Miss. G.S.M Irugalbandara	1,000,000	0.33%	1,000,000	0.33%
Mrs. A.C.P Irugalbandara	1,000,000	0.33%	1,000,000	0.33%
Mr. M I Samsudeen	756,774	0.25%	737,015	0.24%
Ghazaly Group International (Pvt) Ltd	530,000	0.17%	530,000	0.17%
Shari Investments Private Limited	518,200	0.17%	518,200	0.17%
Total	299,845,434	97.50%	299,825,675	97.50%



5 Share holding -Non-voting shares

Name of shareholders	As at 30/06/2018		As at 31/03/2018	
	Number of shares	Holding %	Number of shares	Holding %
Sierra Holdings (Pvt) Ltd	11,648,140	66.66%	11,648,140	66.66%
Mr.A.P.Weerasekera	5,824,550	33.33%	5,824,550	33.33%
Mr.A.B.Weerasekera	1,000	0.01%	1,000	0.01%
	17,473,690	100.00%	17,473,690	100.00%

6 Directors' share holdings

As at 30/06/2018 As at 31/03/2018

		Number of shares	Number of shares
Mr.N.G.R.Karunaratne (Chairman/CEO)		8,229,310	8,229,310
Mr.D.N.N.Lokuge		3,125,000	3,125,000
Mr.A.P.Weerasekera (Managing Director)	- Voting Shares	7,243,310	7,243,310
	- Non-Voting Shares	5,824,550	5,824,550
Mr.W.A.P.Perera		3,120,000	3,120,000
Mr.D.S.K.Amarasekara		-	-
Mr.I.C.Nanayakkara		-	-
Mr.H.P.J.de Silva		-	-
Mr.A.G.Weerasinghe		-	-
Ms.S.Wickramasinghe		-	-

7 Public holding

The percentage of public holding in voting and non-voting shares as at 30th June 2018 were 16.43% and 0.01% respectively.

8 Market prices

	Rs.
Highest during the period	5.10
Lowest during the period	3.30
As at 30th June 2018	3.80

9 Events after the reporting date

There were no material events occurred after the reporting date that require adjustments to, or disclosure in the financial statements.

10 Commitments and contingencies

The final award on arbitration by the International Chamber of Commerce, Singapore on the action instituted against the Company by ADM Pacific Trading Pte Ltd (the petitioner) was made on 23rd April 2014. Accordingly, the Company is liable to pay the petitioner the loss claimed, reimbursable legal cost and interest cost. A sum of Rs. 148,290,924/- was provided in the financial statements in previous years in respect of the loss claimed and other reimbursable legal costs. The petitioner instituted legal action in the Commercial High Court of Colombo during the year under review to enforce the Arbitration Award and recover interest costs. In the absence of the determination by Court, the Company is not in a position to quantify the interest cost payable and no provision has been made for any interest payable in the financial statements. Based on the information currently available the management is in the view that there would not be an additional material adverse impact on the financial statements other than those disclosed above.

Corporate guarantee issued by AgStar PLC

The guarantees given to banks on behalf of AgStar Seeds (Pvt) Limited, AgStar Cropcare (Pvt) Limited, AgStar Grains (Pvt) Limited and Mahaweli Agro Trading (Pvt) Limited amounting to Rs.212 Mn, Rs.129 Mn, Rs.860 Mn and Rs.150 Mn respectively.

The guarantees given to local suppliers amounting to Rs.11 Mn.

Apart from the above, the Company has no material contingencies and commitments as at 31st March 2018 that would affect current and future profits.

AgStar PLC**Corporate Information**

The Company	AgStar PLC																		
Legal Form	A public Quoted Company incorporated in Sri Lanka on 25th June 2002																		
Company Registration No.	PV1618 PB/PQ																		
Registered Office	AgStar PLC 09, Bawa Place, Colombo 08 Tel: +94 11 4812424, +94 11 778040-3 Fax: +94 11 4810706 E-mail: info@agstaragri.com Website: www.agstaragri.com																		
Board of Directors	<table> <tr> <td>Mr N.G.R.Karunaratne</td><td>Chairman / Chief Executive Officer</td></tr> <tr> <td>Mr D.N.N.Lokuge</td><td>Deputy Chairman/ Non Executive Director</td></tr> <tr> <td>Mr A.P.Weerasekera</td><td>Managing Director</td></tr> <tr> <td>Mr D.S.K.Amarasekera</td><td>Non Executive Director</td></tr> <tr> <td>Mr I.C.Nanayakkara</td><td>Non Executive Director (Resigned from 8th March 2018)</td></tr> <tr> <td>Mr W.A.P.Perera</td><td>Non Executive Director</td></tr> <tr> <td>Mr A.G.Weerasinghe</td><td>Independent Non Executive Director</td></tr> <tr> <td>Mr H.P.J.de Silva</td><td>Independent Non Executive Director</td></tr> <tr> <td>Ms S.Wickramasinghe</td><td>Independent Non Executive Director</td></tr> </table>	Mr N.G.R.Karunaratne	Chairman / Chief Executive Officer	Mr D.N.N.Lokuge	Deputy Chairman/ Non Executive Director	Mr A.P.Weerasekera	Managing Director	Mr D.S.K.Amarasekera	Non Executive Director	Mr I.C.Nanayakkara	Non Executive Director (Resigned from 8th March 2018)	Mr W.A.P.Perera	Non Executive Director	Mr A.G.Weerasinghe	Independent Non Executive Director	Mr H.P.J.de Silva	Independent Non Executive Director	Ms S.Wickramasinghe	Independent Non Executive Director
Mr N.G.R.Karunaratne	Chairman / Chief Executive Officer																		
Mr D.N.N.Lokuge	Deputy Chairman/ Non Executive Director																		
Mr A.P.Weerasekera	Managing Director																		
Mr D.S.K.Amarasekera	Non Executive Director																		
Mr I.C.Nanayakkara	Non Executive Director (Resigned from 8th March 2018)																		
Mr W.A.P.Perera	Non Executive Director																		
Mr A.G.Weerasinghe	Independent Non Executive Director																		
Mr H.P.J.de Silva	Independent Non Executive Director																		
Ms S.Wickramasinghe	Independent Non Executive Director																		
Audit Committee	Mr H.P.J.de Silva Mr A.G.Weerasinghe																		
Remuneration Committee	Mr H.P.J.de Silva Mr A.G.Weerasinghe																		
Subsidiaries	AgStar Seeds (Pvt) Limited AgStar Cropcare (Pvt) Limited AgStar Grains (Pvt) Limited AgStar Properties (Pvt) Limited Mahaweli Agro Trading (Pvt) Limited AgStar Exports (Pvt) Limited Prith Seeds (Pvt) Limited Royal Seeds Pvt) Limited																		
Secretaries	P R Secretarial Services (Pvt) Ltd 59, Gregory's Road, Colombo 07																		
Registrars	SSP Corporate Services (Private) Limited 101, Inner Flower Road, Colombo 03																		
Auditors	KPMG P O Box 186 32A, Sir Mohamed Macan Markar Mawatha, Colobmo 03																		
Bankers	Bank of Ceylon Commercial Bank of Ceylon PLC DFCC Vardhana Bank PLC Hatton National Bank PLC MCB Bank Limited NDB Bank PLC Peoples' Bank Public Bank Sampath Bank PLC Seylan Bank PLC																		
Legal Consultants	Paul Ratnayake Associates 59, Gregory's Road, Colombo 07 Sudath Perera Associates 5, 9th Lane, Nawala Road, Nawala																		